

FUBO pitch deck

PITCH — FUBO — VERDICT

ADJUDICATED 2026-08-08 — REJECT the equity at size zero: the stub's profits are ~80% a price schedule Disney wrote, the best plausible takeout path caps out near \$12.90 and the no-takeout path has no floor; the only things we would consider owning are the 2029 secured convert (after a dedicated liquidity check) and a small long-dated call position.

What we believe

Fubo is no longer the company the ticker implies. Since the Disney combination closed on 2025-10-29, Walt Disney's Hulu, LLC owns 78,992,518 of the 109,196,795 common shares — **72.3%** — and the public owns roughly 30.2 million Class A shares. At the \$10.27 quote in our evidence pack, the public piece is worth about **\$310M**; the whole enterprise, including \$86.4M of net debt, is about **\$1.21B**, or roughly **12–13x** the company's own FY26 profit guidance.

Three things drive our view.

1. On most of the business, Fubo does not own the customer. In the quarter ended 2026-06-30, \$1,067.9M of \$1,481.7M in revenue — **72.1%** — came from Disney. The 10-Q says plainly that Hulu and its affiliates “continue to own and operate the Hulu and Disney platforms,” “will exclusively sell and administer subscriptions,” and “**retain subscription revenue.**” What Fubo contributed and still owns is the business of “negotiating and administering carriage agreements.” Fubo pays Disney a 1.0% brand license fee, a 15% ad agency fee, and a 10% marketing support fee, and funds the marketing budget. Roughly 4.3 million of the 5.75 million subscribers in the headline are Disney's, not Fubo's, and Fubo is contractually barred from distributing that service anywhere else or taking those customers direct. Disney, not Fubo, sets the retail price. ([10-Q, filed 2026-08-05](#))

2. The headline growth target is mostly a price schedule, not performance. Disney pays Fubo a wholesale fee equal to **95%** of the Hulu Live business's carriage costs in calendar 2025–2026, **97.5%** in 2027, and **99%** in 2028 and after. Working backwards from the disclosed related-party revenue, that carriage cost is about \$1,124M a quarter, so each step is worth real money: roughly **+\$84M in FY27** and **+\$163M in FY28** with no change in the underlying business. Add that to the FY26 guidance midpoint of \$95M and you get \$258M against a marketed “at least \$300M by FY28.” **About 80% of the improvement is a fee change the controlling shareholder granted; only about \$42M has to come from operations.**

3. The operating trend under that schedule is flat to down. Adjusted EBITDA went \$41.4M → \$37.7M → \$19.1M over three quarters (–38% versus the prior-year pro forma). The FY26 guidance of \$90–100M looks like a raise, but \$98.3M was already banked in nine months, so it implies a fourth quarter of **–\$8.3M to +\$1.7M**. Advertising revenue was **\$108.9M versus \$109.4M** a year earlier —

down 0.5% — even with the Disney ad server migration finished. Nine-month operating cash flow was — **\$417M**, and the company guides to positive free cash flow only in FY27–FY28.

Underneath all of it sits **\$2,614M of goodwill** against a company whose tangible net assets are **negative \$344M**. The March interim impairment test cleared by **3.6%** using a 13% discount rate — and the forecast inside that test is necessarily the same plan that produces the marketed “\$300M by FY28.” The target is doing double duty: it is the sales pitch and the thing holding up a \$2.6 billion balance-sheet item.

And the governance is one-sided in the ways that matter. Seven of nine board seats are Disney-designated or Disney-derived; the new CEO ran Disney+ until July 2026; founder David Gandler was terminated on 2026-07-09 on change-of-control severance. Delaware’s anti-takeover statute is **affirmatively waived** in the charter, stockholder action by written consent is permitted, and at 72.3% Disney can approve a merger by signing a piece of paper — minority holders get an information statement and appraisal rights, not a vote. There is no standstill; Disney’s 13D expressly reserves the right to buy more in the open market. Corporate opportunity is fully renounced, so Disney can build the successor Live TV product inside Disney+ and owes Fubo nothing. ([Charter, Ex. 3.4 to the closing 8-K](#))

What the market believes

The market’s story is a turnaround: a business that lost money for a decade is now profitable, guidance went up, subscribers grew 2%, the balance sheet has \$236M of cash against a ~\$1B market cap, and management has put a \$300M profit target on 2028 that the stock is nowhere near paying for. On that reading, 12x today’s profit for something guided to triple in two years is cheap, and Disney’s 72% stake is a strength — a deep-pocketed parent and a plausible buyer of the rest.

Some of that is right. The company genuinely is EBITDA-positive. Disney genuinely is a plausible buyer. The reverse split makes the chart look worse than the business.

Why we might have edge

The edge here is not a forecast. It is reading four documents the market summarizes rather than reads.

The fee schedule. The 95%/97.5%/99% escalator is disclosed, but almost nobody has done the arithmetic that turns it into \$163M of the \$205M profit bridge. Once you have, “\$300M by 2028” stops being a growth story and becomes a related-party transfer with an expiration date.

The five-year clock. The commercial agreement has an **initial term of five years, renewable only by mutual agreement** — so Disney can end it by doing nothing in about October 2030. The company concedes in its own risk factors that there is “uncertainty regarding how the expiration of the commercial services agreement would impact our subscribers and data.” Meanwhile the contract already names “any Disney-branded successor or replacement platform,” which means the Disney+ Live TV migration was written into the deal at signing, a year before the CEO letter mentioned it.

The two dates that expire together. The lockup on Disney's shares and the commitment to keep the two unaffiliated independent directors both run **24 months from closing — to 2027-10-29**. Both minority protections lapse on the same day, roughly a year before the 99% fee tier makes the company look its best. That sequencing is the whole squeeze-out setup, and it is visible only if you read two agreements against a calendar.

The one contract you cannot read. The exhibit index to the closing 8-K lists the registration rights, tax receivables, LLC and stockholders agreements. The **HL Commercial Services Agreement and the Hulu Brand License Agreement are described but not filed**. The contract governing 72% of revenue is not in the public record. That is not a clean bill of health; it is a hole, and we treat it as one.

Why it might be priced in

Honestly assessed, a lot of it probably is, and that is why the answer is reject rather than short.

- The stock is **–82% from its 52-week high** and has already round-tripped to \$7.95. This is a liquid, widely followed, heavily retail-owned name — not something nobody has looked at. We should not assume our reading of the governance is proprietary.
- At 12–13x guided EBITDA with profits deteriorating year-over-year, the market is not paying a growth multiple. It is paying roughly what the current run-rate deserves.
- The takeout case is real. Disney has every reason to buy in the 30 million public shares, and precedent minority buy-ins from a 70%+ controller cluster in a modest premium band. The benches put the credible bid path at **\$9.40–\$12.90**.
- **The stock has already moved into that band.** The court ran against a \$9.08–\$9.26 tape; our pack now shows **\$10.27**. From here the best plausible takeout outcome is roughly +26%, the mid-range is roughly flat, and the no-bid outcome has no floor beneath it — the equity is not net-cash-supported, it carries negative tangible book, and a goodwill writedown of up to \$2.6B is a live possibility. That skew, not the analysis, is what kills the trade.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Adjusted EBITDA is positive and trending up” (our own triage)	Read the quarterly series in the filing and the shareholder letter	\$41.4M → \$37.7M → \$19.1M; –38% year-over-year on a like-for-like basis	No — our triage was wrong on direction
“FY26 guidance was raised”	Arithmetic: \$90–100M full year minus \$98.279M already banked in nine months	Implies a fourth quarter of –\$8.3M to +\$1.7M. Only the floor moved (\$80M→\$90M); the ceiling never changed	Refuted
“Subscribers –7% from peak” (our red bench)	Second bench checked the base date	The “peak” is the fiscal-Q1 football season. Measuring off a seasonal high is the same trick our red bench had just convicted the triage of doing with a seasonal low. Our own bench	Reduced — bench error, ours

Claim	How checked	Found	Confirmed?
		committed the error it was punishing	
“Ad revenue fell in a World Cup quarter” (our red bench)	Checked the tournament calendar against the fiscal quarter	The World Cup ran Jun 11–Jul 19; the fiscal quarter ended Jun 30, so only ~3 weeks fell inside it. Red’s rhetoric was wrong — but the correction makes the case worse , because the tournament’s revenue bulk lands in the fourth quarter, which management has effectively guided to zero profit <i>with</i> that tailwind	Bench error corrected; conclusion strengthened
“The tax receivables agreement accelerates on a change of control” (our red bench)	Pulled the filed agreement itself, §4.2(a)	Explicitly the opposite: “Fubo shall not be required to make an Early Termination Payment in connection with a change of control.” Termination is voluntary and needs audit-committee approval — a genuine working minority protection	Withdrawn — bench error, self-caught
“Disney is taking free working capital from its own subsidiary” (our red bench)	Divided the \$501.3M related-party receivable by quarterly billings	~43 days outstanding — ordinary for a new intercompany billing relationship	Withdrawn — bench error, self-caught
“Management should have called a goodwill triggering event in the June quarter”	Checked the actual tape across the test window	Stock closed ~\$9.77 in late March and ~\$9.91 in late June — flat to up. The stock-price trigger genuinely was not met	Management is right; we found no masking here, and that is a real positive finding
FY28 bridge is ~80% contractual	Second bench re-derived the carriage base and both step-ups independently	+\$112.4M/yr at full rate; +\$84.3M in FY27, +\$163.0M in FY28 after the calendar/fiscal-year straddle	Confirmed — strongest leg in the case
Net debt \$86.4M (not net cash)	\$177.5M + \$145.0M Disney note + \$0.3M less \$236.4M cash	Confirmed. \$145M of the debt is owed to the controlling shareholder at 4.2%	Confirmed
Goodwill headroom 3.6%	Read the disclosure; tested the carrying-value math	The 3.6% is disclosed verbatim and is solid. But our carrying-value comparison used June-30 net assets as a stand-in for the March-31 test date, and the fair-value basis (equity vs. total capital) is not disclosed	Partial — the derived ~2.6x market-vs-model gap is directional only
Share count from our own data feed	Cross-checked our XBRL pull against the filing cover page	Our feed shows diluted shares = 0 for 2025 — an artifact of reverse-acquisition accounting. Our pack was wrong ; the cover-page counts are correct	Pack error, corrected
Independent re-verification of the charter and 8-K quotes	Second bench tried to re-fetch	All external routes blocked (SEC returned 403, archive mirrors and the text proxy failed). The governance quotes are internally consistent and unchallenged but were read by one bench only	Plausible, not independently re-fetched
Price used for the valuation	Compared the two benches and the current	Red used \$9.08, blue used \$9.26, the current pack shows \$10.27 . The \$9.40–	Our own stale-spot error, caught here

Claim	How checked	Found	Confirmed?
	pack	\$12.90 takeout band was struck against the lower tape. At \$10.27 the stock is already inside it — this materially worsens the risk/reward and neither bench priced it	
“Next print: Q3, 2026-11-04” (our own sensor label)	Checked against the fiscal calendar in the filing	The fiscal year ends ~Sept 30, and the quarter just reported <i>was</i> Q3. A November 4 report is therefore the fiscal fourth quarter and full year , and should carry the annual goodwill test and the 10-K. Our sensor is mislabeled	Sensor label wrong; date retained, meaning corrected
The commercial agreement itself	Searched the exhibit index of the closing 8-K	Described but never filed . The contract behind 72% of revenue cannot be read	Unverifiable — and unverifiable is not clean

PROPOSED ENTRY BANDS

There is no entry. The equity is rejected at size zero, and no order of any kind is authorized today. These are the conditions under which we reopen the file, taken verbatim from the adjudication:

- 1. Convert access and liquidity screen — before any order.** The one instrument the court found ownable is the **2029 secured convertible at roughly 98.6, paying 7.5% cash or 10% in kind, with a put at par on a change of control**. That structure is the answer to this situation: the par change-of-control put converts the squeeze-out risk from a threat into a redemption. But we have not verified that we can actually buy it in size, at a workable spread, in our account. **That screen runs first. No size is authorized until it clears.** (Terms are from the bench, not from our evidence pack — see “unverified.”)
- 2. A 13D/A showing Disney accumulating — immediate re-look.** Open-market buying by the controller is the tell that a bid is being assembled. Disney has expressly reserved the right to do this and there is no standstill.
- 3. The November 4 print plus the FY26 goodwill test.** Watch for whether the profit fade stabilizes, whether the fourth quarter clears zero, and whether the annual impairment test — with a test date of July 1, one day after the quarter in which profits halved — produces a writedown.
- 4. 2027-10-29 — automatic re-court, calendared now.** Disney’s lockup and the commitment to keep the two unaffiliated independent directors expire on the same day. That is the date the minority’s protection ends and the takeout window opens.

Reference levels, from the benches’ own math (watch levels, not orders):

- **\$9.40–\$12.90** — the credible takeout range. At today’s \$10.27 we are inside it, so the takeout case is largely paid for.
- **\$12.90+** — above the top of any plausible bid; a long here is betting on something no bench supports.

- **\$7.95** — the 52-week low. Breaking it is evidence for the no-bid path, in which case the convert, not the stock, is the instrument.

Optional convexity: small long-dated calls, on the argument that implied volatility sits below realized. **The options surface was never actually pulled.** Treat this as an idea, not a position, until someone prices it.

Catalyst dates: 2026-11-04 (FY26 Q4/full-year print + goodwill test); ~Nov–Dec 2026 (FY26 10-K, where the annual test result and any newly filed exhibits land); 2027-01-01 (fee steps to 97.5%); 2027-10-29 (lockup and independent-director protections both expire); 2028-01-01 (fee steps to 99%); ~2030-10-29 (commercial agreement initial term ends unless Disney renews).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.95 (deck-provisional: Breaks the 52-week low; evidence for the no-bid path, in which case the 2029 convert is the only expro)
- filing watch: SC 13D/A, SC 13G/A, 4 until 2027-02-13 (deck-provisional: Disney accumulating in the open market is the bid-path tell; as a >10% holder its buys print on Form 4)
- dated pack FUBO|2026-11-04: FUBO Q3 + goodwill test: HIT = EBITDA fade stabilizes + no impairment + any Disney accumulation. RESOLVE: `python3 -m desk.calibration resolv`
- dated pack FUBO|2026-12-15: FUBO: Approximate FY26 10-K filing window (Nov-Dec 2026) carrying the July-1 annual impairment test and the exhibit index. (date confirmed=F)
- dated pack FUBO|2027-01-01: FUBO: Wholesale fee schedule steps from 95% to 97.5% of Hulu Live carriage cost, worth roughly +\$84M to FY27. (date confirmed=True)
- dated pack FUBO|2027-10-29: FUBO: Disney lockup AND the commitment to keep the two unaffiliated independent directors both expire — scheduled re-court. (date confirmed=)
- dated pack FUBO|2028-01-01: FUBO: Fee schedule steps to 99%, worth roughly +\$163M to FY28 and about 80% of the marketed FY28 profit bridge. (date confirmed=True)
- dated pack FUBO|2030-10-29: FUBO: Commercial agreement initial five-year term ends; renewable only by mutual agreement, i.e. Disney can end it by declining. (date confi

What remains unverified

- **The contract behind 72% of revenue has never been filed.** Everything we know about the commercial agreement comes from summaries written by the company. We cannot read the termination provisions, the renewal mechanics, or the service-level terms.
- **The merger proxy's projections and both fairness opinions are unread.** Every external route was blocked this pass — the SEC returned 403, the archive mirror was blocked, the text proxy returned 401. A mirror excerpt confirms the fee terms were kept confidential even in the proxy. This is the largest open lead in the file.

- **The governance findings were read by one bench only.** The charter, stockholders agreement and 8-K quotes are internally consistent and were not contradicted, but the second bench could not independently re-fetch a single one of them. Treat them as strong single-source, not double-confirmed.
 - **The convert's terms and, more importantly, whether we can actually buy it.** Price ~98.6, coupon 7.5%/10% in kind, 2029 maturity, par change-of-control put — none of that appears in our evidence pack, and the bid/ask, minimum lot and account eligibility are unknown.
 - **The options surface.** The implied-below-realized claim was never priced.
 - **The goodwill test's carrying-value basis.** The 3.6% headroom is disclosed; whether it was measured on an equity or total-capital basis, and what the March-31 carrying amount actually was, is not.
 - **The November 4 date itself** is derived from a data vendor, not from a company announcement.
 - **Precedent premium range.** The \$9.40–\$12.90 band comes from comparable controller buy-ins, one of which (MSG Networks) cleared at only +4%. The low end of that band is soft, and the band was struck against a lower share price than today's.
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